

## CBSE CLASS X

## Introduction to Financial Markets (405)

## QUESTION PAPER

From previous CBSE Board Exam questions

Code: PP8B89

Questions: 6

Maximum Marks: 6

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## SELECTIONS USED

|                    |                             |
|--------------------|-----------------------------|
| Source             | Previous-year board         |
| Subject            | Financial Market Management |
| Lessons            | Derivatives                 |
| Year               | 2023-2026                   |
| Questions selected | 6                           |

Q1. § What is Commodity Derivatives Market?

[1]

A farmer agrees to sell his produce of wheat to a Miller, 6 months later when his crop is ready, he sells his wheat produce at a price that is agreed upon today by both the parties. Identify the type of contract.

Previously asked in: 2025 92 Q2 (v)

◆ Derivatives

Forward Contract

Q2. § What are Types of Derivatives? § What is Commodity Derivatives Market? § What is the difference between Commodity and Financial derivatives?

[1]

Which of the following is a characteristic of future contracts ?

- (A) They are traded over-the counter.
- (B) They are standardised and traded on exchanges.
- (C) They are customized to meet the needs of individual buyers and sellers.
- (D) They carry a high degree of counterparty risk.

Previously asked in: 2026 92 Q2 (v)

◆ Derivatives

Future Contracts - Characteristics

Q3. § What is an 'Option Premium'?

[1]

A buyer of an option pays for the right to exercise his option. Identify term used for this.

Previously asked in: 2023 92 Q3 (v)

◆ Derivatives

Option Premium

Q4. § What is Commodity Derivatives Market?

[1]

Commodity derivatives market trade contracts for which the underlying asset is \_\_\_\_\_.

- (a) Interest
- (b) Currency
- (c) Stock
- (d) Commodity

Previously asked in: 2023 92 Q2 (v)

◆ Derivatives

Commodity Derivatives Market

**Q5.** § What is Commodity Derivatives Market?**[1]**

Commodity derivatives market trade contracts for which the underlying asset is \_\_\_\_\_.

- (A) Index
- (B) Currency
- (C) Stock
- (D) Commodity

Previously asked in: 2025 92 Q3 (v)

♦ Derivatives

Commodity Derivatives Market

**Q6.** § What is Commodity Derivatives Market?**[1]**

What is the role of the commodity derivatives market ?

- (A) Facilitating buying and selling in spot market.
- (B) Providing logistic services and other facilities.
- (C) Assists, regulates, or controls the business of buying, selling or dealing only in commodity derivatives.
- (D) Promoting over-the counter markets.

Previously asked in: 2026 92 Q3 (v)

♦ Derivatives

Role of Commodity Derivatives Market

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## ANSWER KEY

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◆ Derivatives

Forward Contract

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**Model Answer**

This is a **Forward Contract** — a customized contract between two parties (farmer and miller) to sell wheat at a price agreed today, with settlement at a future date.

**Explanation**

The key features here are: customized agreement, two specific parties, future settlement, and price fixed today — all defining characteristics of a **forward contract**. It is not a futures contract because futures are standardized and exchange-traded, which is not the case here.

**Q2.** § What are Types of Derivatives? § What is Commodity Derivatives Market? § What is the difference between Commodity and Financial derivatives?

**[1]**

Which of the following is a characteristic of future contracts ?

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Future Contracts - Characteristics

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### Model Answer

**(B) They are standardised and traded on exchanges.**

Futures contracts are special types of forward contracts that are **standardised exchange-traded contracts**, unlike forwards which are customized.

Source: Types of Derivatives, Chapter 5

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### Explanation

The key distinction examiners test here is **futures vs. forwards**:

- Forwards → customized, OTC, higher counterparty risk (Options A, C, D describe forwards/OTC instruments).
- Futures → standardised, exchange-traded, lower counterparty risk (because the exchange acts as counterparty/clearinghouse).

Always remember: "*Futures contracts are standardized exchange-traded contracts*" — this exact phrase from the textbook is the basis for the correct answer.

**Q3.** § What is an 'Option Premium'?

**[1]**

A buyer of an option pays for the right to exercise his option. Identify term used for this.

Previously asked in: 2023 92 Q3 (v)

◆ Derivatives

Option Premium

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### Model Answer

The term used is **Option Premium**. It is the price paid by the option buyer to the option seller for acquiring the right to buy or sell.

Source: What is an 'Option Premium'?, Chapter 5

### Explanation

The examiner expects you to name the term (**Option Premium**) and give a brief one-line definition. Since it is 1 mark, just the term alone may suffice, but adding a short definition ensures full credit.

## Q4. § What is Commodity Derivatives Market?

[1]

Commodity derivatives market trade contracts for which the underlying asset is \_\_\_\_\_.

- (a) Interest
- (b) Currency
- (c) Stock
- (d) Commodity

Previously asked in: 2023 92 Q2 (v)

♦ Derivatives

Commodity Derivatives Market

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**Model Answer****(d) Commodity**

Commodity derivatives market trade contracts for which the underlying asset is **commodity**, such as agricultural goods (wheat, cotton) or precious metals (gold, silver).

Source: *What is Commodity Derivatives Market?, Chapter 5*

**Explanation**

This is a direct definition-based MCQ. The passage explicitly states "commodity derivatives market trade contracts for which the underlying asset is commodity." The other options (interest, currency, stock) are underlying assets for **financial** derivatives, not commodity derivatives. Always remember this distinction for exam purposes.

## Q5. § What is Commodity Derivatives Market?

[1]

Commodity derivatives market trade contracts for which the underlying asset is \_\_\_\_\_.

- (A) Index
- (B) Currency
- (C) Stock
- (D) Commodity

Previously asked in: 2025 92 Q3 (v)

♦ Derivatives

Commodity Derivatives Market

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**Model Answer**

**(D) Commodity** — Commodity derivatives market trades contracts for which the underlying asset is a commodity, such as agricultural products (wheat, cotton) or precious metals (gold, silver).

Source: *Chapter 5, What is Commodity Derivatives Market?*

**Explanation**

This is a direct definition-based MCQ. The passage explicitly states "Commodity derivatives market trade contracts for which the underlying asset is commodity." Options A (Index), B (Currency), and C (Stock) are underlyings for **financial** derivatives, not commodity derivatives. Always remember this key distinction.

**Q6.** § What is Commodity Derivatives Market?**[1]**

What is the role of the commodity derivatives market ?

- (A) Facilitating buying and selling in spot market.
- (B) Providing logistic services and other facilities.
- (C) Assists, regulates, or controls the business of buying, selling or dealing only in commodity derivatives.
- (D) Promoting over-the counter markets.

Previously asked in: 2026 92 Q3 (v)

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Role of Commodity Derivatives Market

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**Model Answer**

**(C)** Assists, regulates, or controls the business of buying, selling or dealing only in commodity derivatives.

**Explanation**

The commodity derivatives market specifically deals with contracts whose underlying asset is a commodity (agricultural or precious metals). Option (C) correctly captures its regulatory and facilitative role limited to commodity derivatives, distinguishing it from spot markets, logistics, or OTC markets.